

India Power

Initiation of coverage: the build-out is financed, the returns are not all priced the same

Atharva Akhazode | Prices as of 2026-09-25 | Report date 26 Sep 2026

Company	Rating	CMP	Target	Upside	DCF	Peer val.	WACC	Mkt-implied WACC	Consensus target
NTPC Ltd	BUY	327	441	34.9%	353	528	8.7%	8.8%	430
Tata Power Company Ltd	SELL	368	275	-25.2%	175	375	10.2%	8.6%	414
JSW Energy Ltd	HOLD	507	530	4.7%	430	631	9.1%	8.8%	616

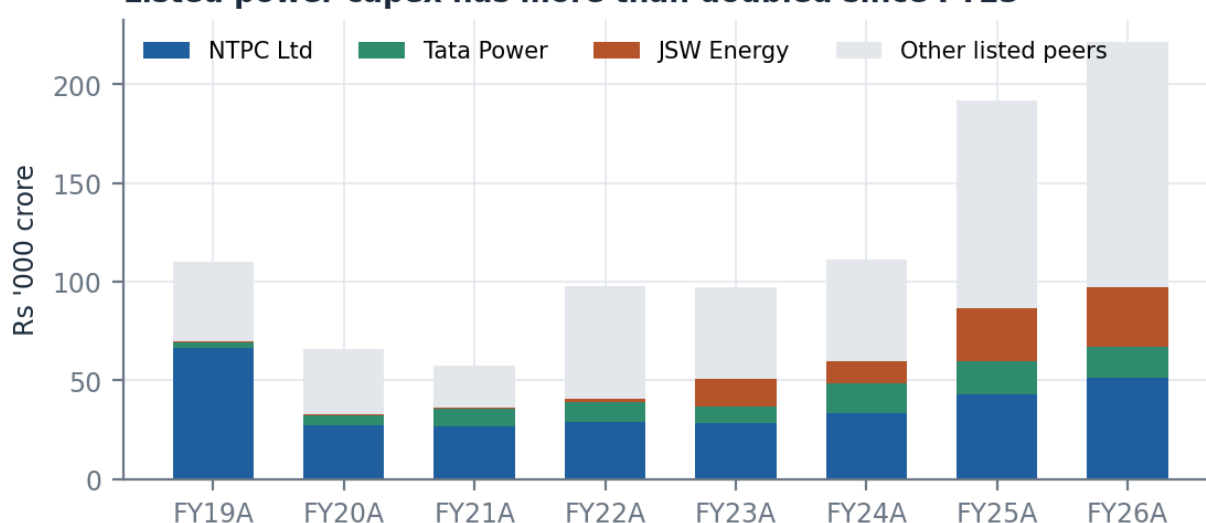
Investment summary

India's power sector is in its largest investment cycle in a decade. Listed generators and utilities spent roughly Rs 2.2 lakh crore on assets in FY26, more than double FY23, and the three companies we initiate on have guided to spend more in FY27. Peak demand touched 270 GW in July 2026 (JSW Energy, Q1FY27 call), against the 250 GW record of May 2024.

Our framework treats every rupee of capex as a claim on future EBITDA: assets commissioned out of capital work in progress earn an EBITDA yield calibrated on each company's FY19-26 history (12-16%), and capex starts from management guidance, haircut for execution. Valued on that basis, the three stocks separate clearly.

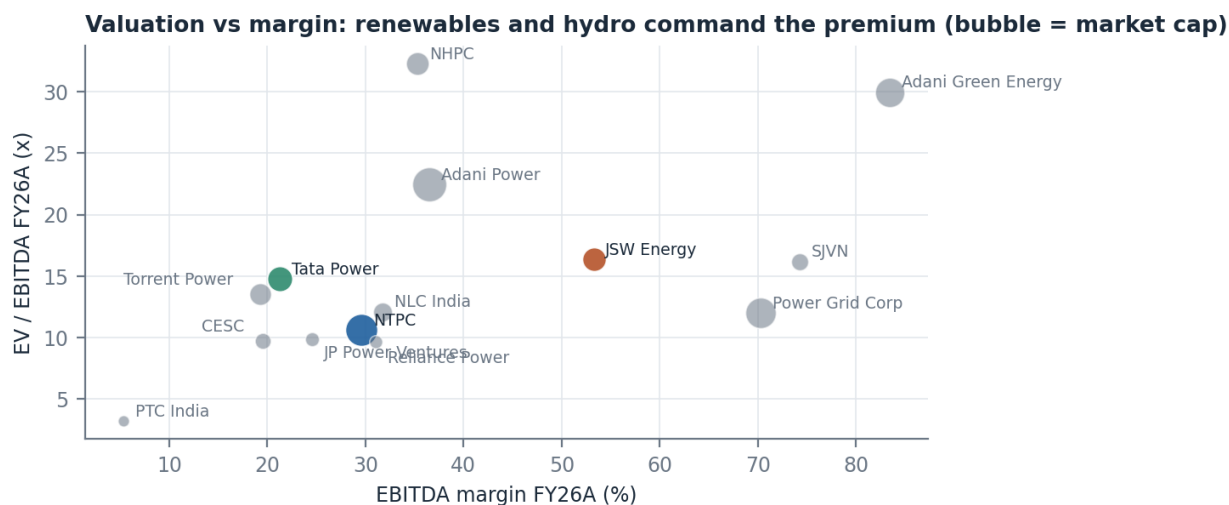
- **NTPC Ltd - BUY, TP Rs 441 (+35%).** The regulated compounder is priced like it has stopped compounding.
- **Tata Power Company Ltd - SELL, TP Rs 275 (-25%).** Good businesses, but the price already assumes a cheap cost of capital.
- **JSW Energy Ltd - HOLD, TP Rs 530 (+5%).** On track for 30 GW, and the market already knows.

Listed power capex has more than doubled since FY23



Sector: capacity, capital and carbon

Three facts frame the sector. First, the grid is short of firm capacity: the CEA projects an additional 86 GW of coal requirement to 2036, of which 68 GW is in the pipeline (NTPC, Q4FY26 call), even as India crossed 50% non-fossil installed capacity in June 2025. Second, the capital is being raised on balance sheets that are already levered 4-7x net debt/EBITDA. Third, the market does not price these assets uniformly: hydro and pure renewables trade at 16-32x EBITDA, integrated thermal-led names at 10-15x.

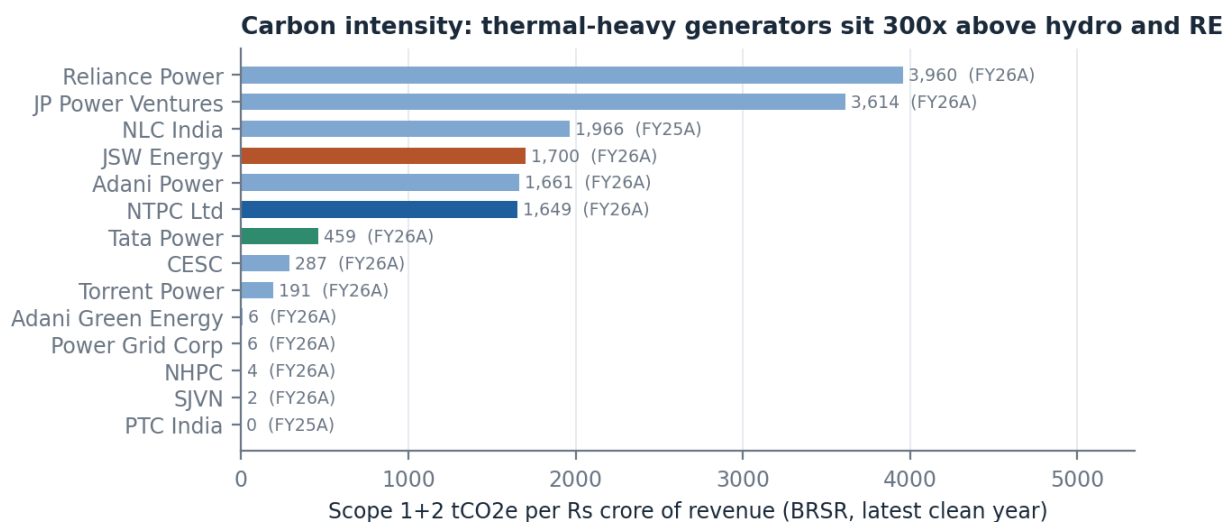


Listed power comparables (FY26A, prices 25-Sep-2026)

Company	Segment	Mcap (Rs cr)	EV/EBITDA	P/E	P/B	ROE	EBITDA mgn	ND/EBITDA
Adani Power	IPP / thermal	390,997	22.5x	30.1x	6.0x	21.4%	36.5%	2.6x
NTPC Ltd	Integrated / thermal-led	316,693	10.6x	11.5x	1.6x	14.2%	29.6%	4.8x
Power Grid Corp	Transmission / PSU	250,651	12.0x	15.7x	2.5x	16.5%	70.3%	4.4x
Adani Green Energy	Renewables	213,573	29.9x	107.5x	10.7x	12.4%	83.4%	9.2x
Tata Power	Integrated / private	117,429	14.8x	22.9x	3.0x	13.6%	21.3%	5.3x
JSW Energy	IPP / private	92,819	16.3x	33.6x	3.0x	9.5%	53.3%	6.8x
NHPC	Hydro / PSU	76,342	32.2x	18.1x	1.8x	10.4%	35.3%	11.9x
Torrent Power	Integrated / private	63,220	13.5x	25.6x	3.3x	13.5%	19.3%	2.1x
NLC India	Lignite-thermal / PSU	36,406	12.1x	9.7x	1.7x	18.7%	31.7%	4.9x
SJVN	Hydro / PSU	24,270	16.2x	37.8x	1.7x	4.5%	74.2%	9.0x
CESC	Integrated / private	18,539	9.7x	11.5x	1.5x	13.2%	19.5%	4.4x
JP Power Ventures	IPP / thermal	10,876	9.9x	24.1x	0.9x	3.6%	24.6%	1.9x
Reliance Power	IPP / thermal	8,507	9.6x	-	0.5x	-2.1%	31.0%	6.0x
PTC India	Power trading	4,591	3.2x	6.4x	0.8x	12.2%	5.3%	-3.2x

Carbon exposure from BRSR filings

We compute scope 1+2 emissions per rupee crore of revenue from SEBI's mandatory BRSR disclosures. Filers mix units (tonnes, million tonnes, kilograms), so rows that sit more than 5x away from a company's own median, or thermal generators reporting under 50 t per Rs crore, are flagged and excluded rather than rescaled. The spread is wide enough to matter for cost of capital as lenders price transition risk.



Latest reported quarters

Company	Quarter ended	Revenue	EBITDA	Net profit
JSW Energy Ltd	2025-12-31	4,082	2,141	420
NTPC Ltd	2025-12-31	45,846	15,642	5,489
Tata Power Company Ltd	2025-12-31	13,948	4,111	772
JSW Energy Ltd	2026-03-31	4,499	2,605	372
NTPC Ltd	2026-03-31	49,688	17,237	10,486
Tata Power Company Ltd	2026-03-31	14,900	4,372	996
JSW Energy Ltd	2026-06-30	5,207	3,105	471
NTPC Ltd	2026-06-30	50,741	17,259	6,721
Tata Power Company Ltd	2026-06-30	19,051	4,490	1,176

Source: Yahoo Finance quarterly statements; quarters missing from that feed are omitted.

The regulated compounder is priced like it has stopped compounding

Capex is doubling and most of it earns a regulated return. Group capex was Rs 49,068 cr in FY26; management guides Rs 1,08,000 cr for FY27 and Rs 5,97,000 cr over FY28-32 on the way to 150 GW by FY32. Even at 70% delivery, commissioned assets grow ~13% a year, and regulated projects earn a 15.5% post-tax return on equity once commercial.

FY27 profit dips on a tax base effect, not operations. FY26 net profit (Rs 27,546 cr) benefited from a negative effective tax rate. On a normalised 25% rate we forecast Rs 23,810 cr in FY27, then 16% annual growth; consensus also expects a 7.5% FY27 decline (Trendlyne).

Valuation leaves room. At 10.6x FY26A EV/EBITDA NTPC trades below its PSU peer median (14.2x) despite the largest RE pipeline in the country. The market price implies an 8.8% WACC, close to our 8.7%, so the upside comes from growth being underpriced rather than a cheaper discount rate.

What management said

"Guided by our new corporate plan, NTPC is charting an ambitious growth trajectory, targeting a capacity portfolio of 150 gigawatts by FY32 and on to 250 gigawatts by FY37." [Q1FY27 call, p9]

"Group-level capex is INR1,08,000 crores estimates." [Q1FY27 call, p10]

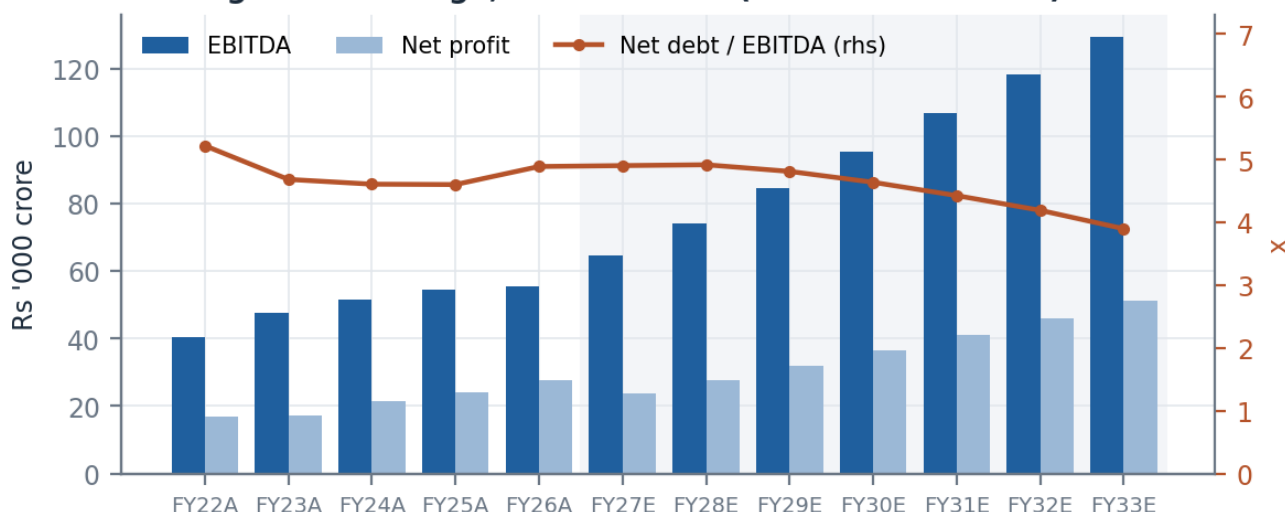
"In the second phasing, comprising five years from FY28 to FY32, total capex would be INR5,97,000 crores, driven primarily by renewable energy projects as we move towards our goal of becoming a 60 gigawatt company in the renewable space." [Q1FY27 call, p10]

"And right now, we are planning an average of 8 GW per annum." [Q4FY26 call, p10]

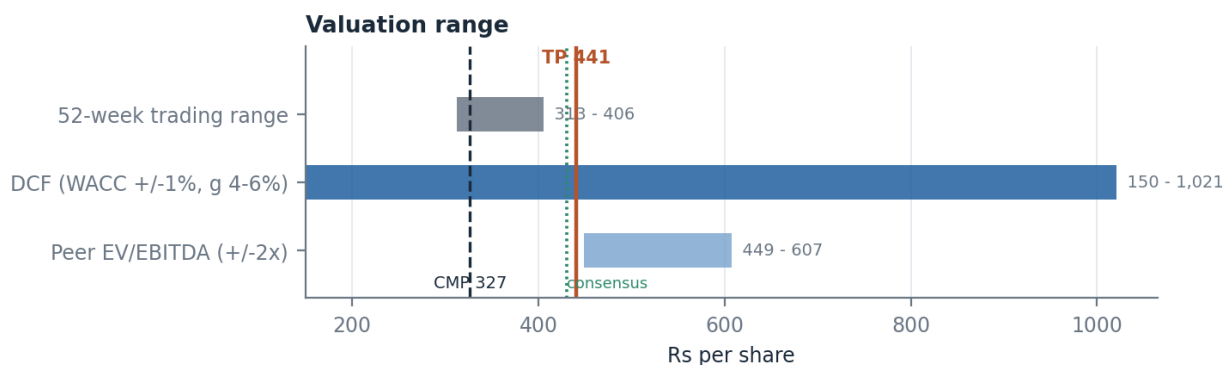
Forecast summary

Rs crore	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E
Revenue	188,138	187,385	215,386	243,112	272,740	303,080
EBITDA	54,355	55,438	64,616	74,149	84,549	95,470
Net profit	23,953	27,546	23,810	27,638	31,817	36,327
Capex	43,099	50,987	75,600	83,580	83,580	83,580
Borrowings	250,096	271,005	308,805	350,595	392,385	434,175
EBITDA margin	28.9%	29.6%	30.0%	30.5%	31.0%	31.5%
EPS (Rs)	24.7	28.4	24.6	28.5	32.8	37.5
P/E at CMP	13.2x	11.5x	13.3x	11.5x	10.0x	8.7x

Earnings and leverage, FY22A-FY33E (shaded = forecast)



NTPC Ltd: valuation



Cost of capital and DCF sensitivity (Rs per share, WACC rows x terminal growth)

Input	Value	WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%
Risk-free (G-sec less default spread)	5.2%	7.7%	486	558	655	797	1,021
Beta (Blume-adjusted)	0.86	8.2%	371	418	480	564	686
Equity risk premium	7.1%	8.7%	281	313	353	406	477
Cost of equity	11.4%	9.2%	209	231	257	291	335
Pre-tax cost of debt	7.4%	9.7%	150	165	182	204	232
Debt weight (market)	46.1%						
WACC	8.7%						
Terminal growth / RONIC	5.0% / 12.0%						

Target = 50% DCF (Rs 353) + 50% peer EV/EBITDA at 14.2x FY26A (Rs 528). Terminal value is 108% of DCF enterprise value because FCFF is negative during the build-out; the value-driver formula ties terminal reinvestment to growth at a 12.0% return on new capital.

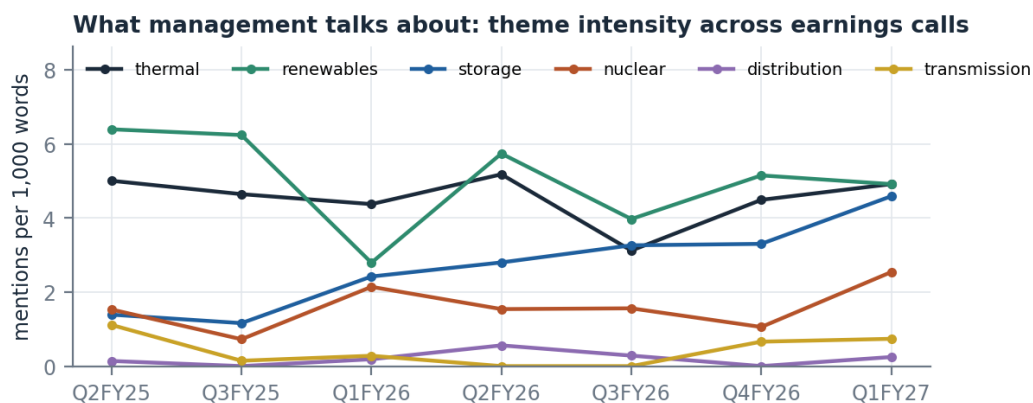
Key assumptions

- Capex:** Q1FY27 call: group capex Rs 1,08,000 cr for FY27; Rs 5,97,000 cr over FY28-32 (Rs 1,19,400 cr/yr). FY26 actual was Rs 49,068 cr, so a 2.2x step-up is assumed to be delivered at 70%.
- Growth:** EBITDA grows with commissioned assets: ~90 GW commercial today, 150 GW targeted by FY32. Revenue is backed out from EBITDA and the margin path.
- Margin:** RE EBITDA margins run far above thermal; mix shift adds ~0.5pp a year.
- Terminal:** Regulated return on equity 15.5% (CMD, Q1FY27); RONIC set at 12% on total capital.

Risks to the call

- Execution slippage beyond the 30% haircut (transmission connectivity gated FY26 RE adds).
- Coal-linked thermal additions (~16.5 GW under construction) lock in carbon exposure; carbon intensity of ~1,650 tCO₂e per Rs cr is among the highest in the universe.
- Leverage stays near 4-5x net debt/EBITDA through FY30 on our numbers.

Earnings-call themes (automated transcript analysis)



Good businesses, but the price already assumes a cheap cost of capital

The growth story is real. Management has Rs 25,000 cr of FY27 capex lined up (half RE, half FGD and T&D), Mumbai transmission adds ~Rs 1,000 cr a year, and rooftop solar targets Rs 30,000 cr of revenue by 2030. We model EBITDA compounding at 12% to FY33.

But the stock prices in more than the plan delivers. At Rs 368, Tata Power trades on 14.8x FY26A EV/EBITDA and 30x trailing earnings. Solving our DCF for today's price gives an implied WACC of 8.6%, against 10.2% on a 1.07 Blume-adjusted beta. Consensus expects ~24% profit growth in FY27; management described Q1FY27 reported PAT growth of about 6%.

We initiate with SELL and a Rs 275 target (50% DCF at Rs 175, 50% peer multiple at Rs 375). This is below every broker target we found (range Rs 310-485, Investing.com), so the call rests on one debatable input: the cost of equity. At a 9.2% WACC the DCF alone reaches Rs 286.

What management said

"And we expect that the INR 25,000 crores that we have lined up for this year, we'll be able to implement." [Q1FY27 call, p7]

"And this will continue because we have a huge pipeline of investment, which is there in Mumbai transmission, nearly INR 10,000 crores of investment will happen in the next 5 years." [Q1FY27 call, p4]

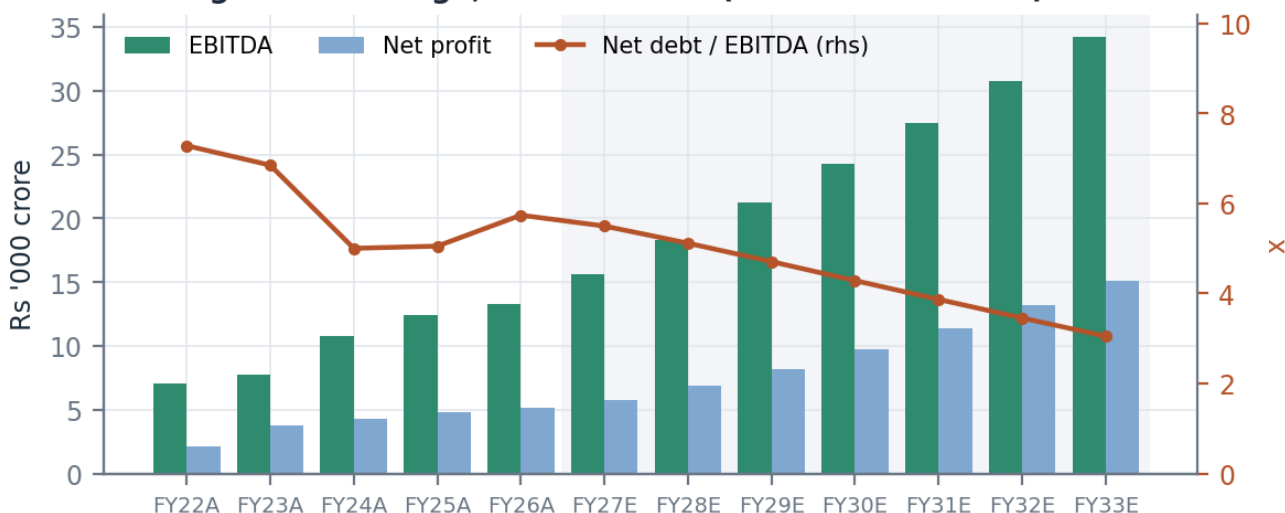
"And I believe you in annual reports have been talking about INR 30,000 crores of rooftop revenue for you by 2030." [Q1FY27 call, p15]

"But yes, you can assume in our quarter 2 also, we're kind of looking at a capex plan of probably higher than INR 6,000 crores." [Q1FY27 call, p14]

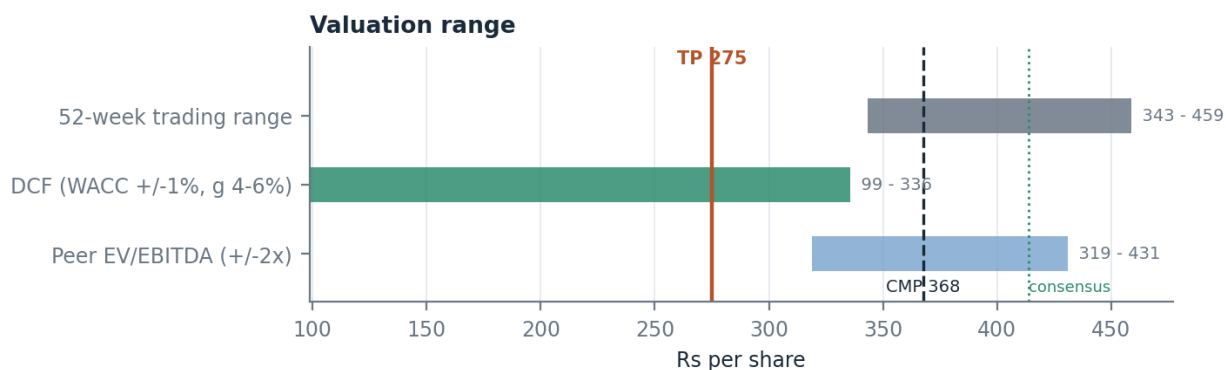
Forecast summary

Rs crore	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E
Revenue	65,478	62,429	71,027	79,626	88,346	98,998
EBITDA	12,450	13,271	15,626	18,314	21,203	24,255
Net profit	4,775	5,118	5,729	6,907	8,224	9,745
Capex	16,399	15,646	18,750	18,750	18,750	18,750
Borrowings	62,866	76,141	87,391	98,641	109,891	121,141
EBITDA margin	19.0%	21.3%	22.0%	23.0%	24.0%	24.5%
EPS (Rs)	14.9	16.0	17.9	21.6	25.7	30.5
P/E at CMP	24.6x	22.9x	20.5x	17.0x	14.3x	12.1x

Earnings and leverage, FY22A-FY33E (shaded = forecast)



Tata Power Company Ltd: valuation



Cost of capital and DCF sensitivity (Rs per share, WACC rows x terminal growth)

Input	Value	WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%
Risk-free (G-sec less default spread)	5.2%	9.2%	255	269	286	308	336
Beta (Blume-adjusted)	1.07	9.7%	205	214	225	237	253
Equity risk premium	7.1%	10.2%	164	169	175	182	190
Cost of equity	12.8%	10.7%	129	131	134	137	141
Pre-tax cost of debt	8.0%	11.2%	99	99	100	101	101
Debt weight (market)	39.3%						
WACC	10.2%						
Terminal growth / RONIC	5.0% / 11.0%						

Target = 50% DCF (Rs 175) + 50% peer EV/EBITDA at 14.9x FY26A (Rs 375). Terminal value is 94% of DCF enterprise value because FCFF is negative during the build-out; the value-driver formula ties terminal reinvestment to growth at a 11.0% return on new capital.

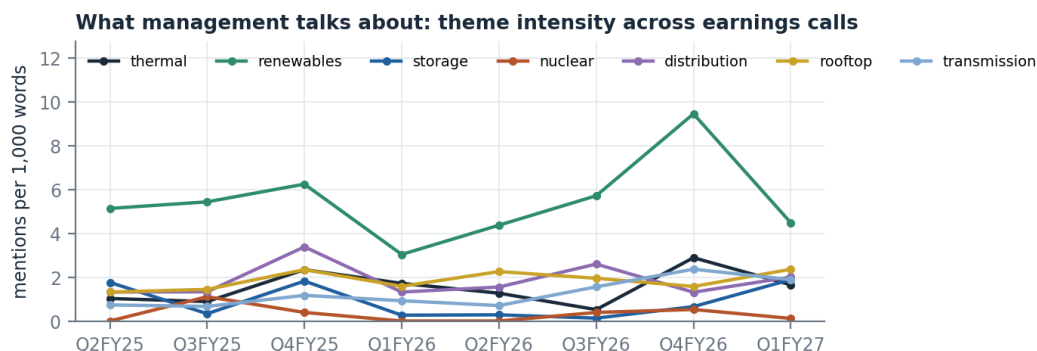
Key assumptions

- **Capex:** Q1FY27 call: Rs 25,000 cr lined up for FY27 (50% RE, rest FGD and T&D), 'similar outlay going forward'. FY26 spend of ~Rs 15,600 cr against ~Rs 22,000 cr guided implies ~70-75% delivery; 75% assumed.
- **Growth:** FY26 revenue fell 4.7%; recovery driven by RE IPP, rooftop solar (Rs 30,000 cr rooftop revenue ambition by 2030) and Mumbai transmission (~Rs 10,000 cr over 5 yrs).
- **Margin:** Regulated T&D plus RE mix lifts margin from 21% toward 26%.
- **Consensus:** Consensus FY27 PAT growth ~24% (Trendlyne) vs management's 'about 6%' pace in Q1FY27; the model sits between at ~12%.
- **Terminal:** Blend of regulated T&D and contracted RE; RONIC 11%.

Risks to the call

- Upside risk: faster rooftop and manufacturing earnings not tied to capex, which our asset-yield model only captures through a 4% drift.
- JV earnings (coal, Tata Projects) sit below EBITDA; we value them at book.
- A lower market risk premium for Indian utilities would close most of the gap.

Earnings-call themes (automated transcript analysis)



On track for 30 GW, and the market already knows

Execution is the best in the group. JSW guided 3 GW and Rs 20,000 cr of capex for FY27 and had commissioned 1.1 GW by late July, with connectivity secured for the balance. Locked-in capacity of 32.1 GW already covers the FY30 target of 30 GW.

Earnings lag the balance sheet. Acquisitions (O2 Power, KSK Mahanadi) lifted FY26 revenue 61% but also interest (Rs 5,816 cr vs Rs 2,269 cr). We forecast FY27 PAT of Rs 2,484 cr, below consensus (+11%), in line with the Q1FY27 run-rate of about Rs 500 cr a quarter.

HOLD, target Rs 530. The DCF (Rs 430) and the growth-peer multiple (Rs 631) bracket the price. Net debt/EBITDA peaks near 6.6x in FY27 before falling below 4x by FY33, so the re-rating case needs the de-levering to show up in reported numbers first.

What management said

"We remain firmly on track to deliver our FY27 annual target of 3 GW capacity addition and Rs 20,000 crore capex — having already achieved close to 36% of the FY27 capacity guidance, and surpassed about 87% of the total capacity added in all of FY26." [Q1FY27 call, p3]

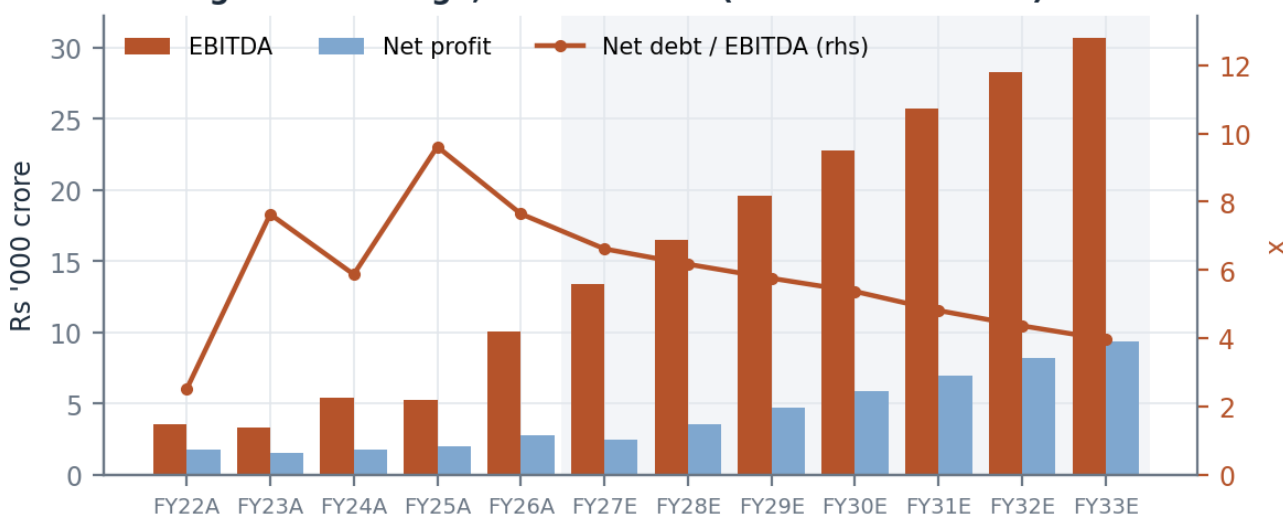
"Our total locked-in capacity now stands at 32.1 GW, placing us firmly on track to deliver the 30 GW target of generation by 2030, under Strategy 3.0." [Q4FY26 call, p4]

"As I said, till date, in the current year since April 1, we have commissioned 1.1 GW of fresh capacity." [Q1FY27 call, p10]

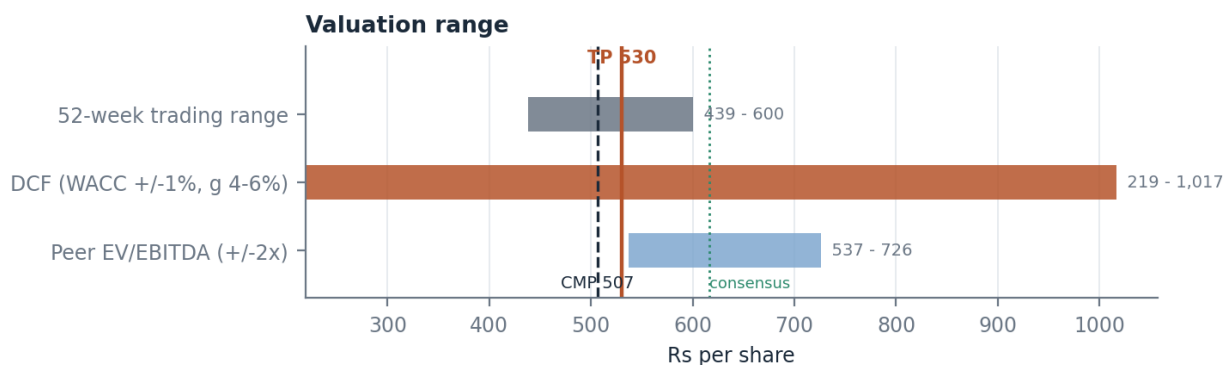
Forecast summary

Rs crore	FY25A	FY26A	FY27E	FY28E	FY29E	FY30E
Revenue	11,745	18,901	26,796	32,614	38,412	44,174
EBITDA	5,221	10,068	13,398	16,470	19,590	22,750
Net profit	1,983	2,762	2,484	3,555	4,659	5,826
Capex	26,860	30,737	18,000	19,800	19,800	19,800
Borrowings	50,185	76,946	88,646	101,516	114,386	127,256
EBITDA margin	44.5%	53.3%	50.0%	50.5%	51.0%	51.5%
EPS (Rs)	10.8	15.1	13.6	19.4	25.4	31.8
P/E at CMP	46.8x	33.6x	37.4x	26.1x	19.9x	15.9x

Earnings and leverage, FY22A-FY33E (shaded = forecast)



JSW Energy Ltd: valuation



Cost of capital and DCF sensitivity (Rs per share, WACC rows x terminal growth)

Input	Value	WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%
Risk-free (G-sec less default spread)	5.2%	8.1%	592	655	737	850	1,017
Beta (Blume-adjusted)	0.87	8.6%	468	509	562	630	725
Equity risk premium	7.1%	9.1%	368	396	430	472	528
Cost of equity	11.4%	9.6%	287	305	327	353	387
Pre-tax cost of debt	8.4%	10.1%	219	231	245	261	281
Debt weight (market)	45.3%						
WACC	9.1%						
Terminal growth / RONIC	5.0% / 11.5%						

Target = 50% DCF (Rs 430) + 50% peer EV/EBITDA at 18.6x FY26A (Rs 631). Terminal value is 98% of DCF enterprise value because FCFF is negative during the build-out; the value-driver formula ties terminal reinvestment to growth at a 11.5% return on new capital.

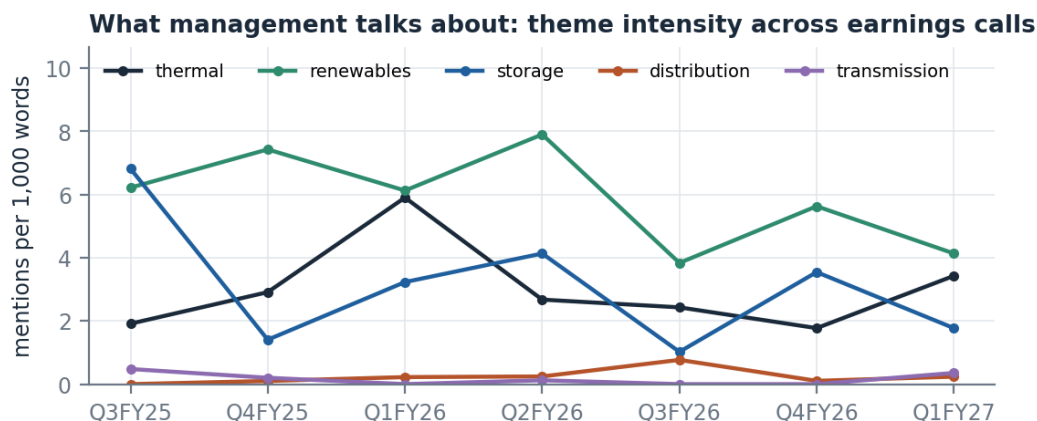
Key assumptions

- Capex:** Q4FY26 and Q1FY27 calls: ~Rs 20,000 cr capex and 3 GW additions in FY27, 1.1 GW already commissioned by July; target 30 GW generation by FY30 (32.1 GW locked in). Rs 22,000 cr/yr assumed to FY30, tapering after; 90% execution given the Q1 run-rate.
- Growth:** FY26 revenue +61% on the O2 Power and KSK Mahanadi acquisitions; organic growth from 3 GW/yr additions fades as the FY30 target is reached.
- Margin:** Contracted RE and the 25-yr Utkal PPA hold margins near 50%.
- Terminal:** Cost of debt 8.36% (Q4FY26); RONIC 11.5%.

Risks to the call

- Merchant exposure on the thermal fleet and hydrology on the hydro assets.
- Battery and wind-blade manufacturing are early; external orders so far are small (Rs 440 cr).
- Weighted cost of debt of 8.36% leaves little room if rates stay near a 7.1% G-sec.

Earnings-call themes (automated transcript analysis)



Methodology and sources

- **Financials:** consolidated annual statements FY14-FY26 (Screener export, cross-checked line by line against screener.in on 25-Sep-2026; FY26 revenue, EBITDA, PAT and borrowings match exactly).
- **Guidance:** 23 earnings-call transcripts (Q2FY25-Q1FY27) downloaded from NSE corporate filings. A rule-based extractor keeps every sentence pairing a forward-looking cue with a figure and unit; each capex input in the model cites the call and page it came from.
- **Model:** Excel workbook per company with live formulas (inputs in blue). A test suite recalculates the workbook with the *formulas* package and checks WACC, DCF, peer value, target and rating against the Python engine.
- **Cost of capital:** 10Y G-sec 7.11% (Trading Economics, 25-Sep-2026) less Damodaran's 1.87% India default spread; total ERP 7.08% (Damodaran, Jan-2026); Blume-adjusted 2-year weekly betas vs Nifty 50.
- **Consensus:** Trendlyne consensus pages and Investing.com analyst tables, 25-Sep-2026.
- **Not used:** Seeking Alpha, Koyfin and full Trendlyne estimate tables require paid logins.

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